

Social Heating and Forward Returns

Evidence from Historical Binance Market-Cap Universes

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Abstract

Does unusually high and rising social attention signal stronger subsequent cryptoasset returns? We study monthly top-100 Binance USDT spot universes ranked by historical market capitalization, excluding equities, stablecoins and leveraged tokens. Signals span January 2023–September 2026. At the baseline heating threshold, 1,249 evaluable events have a mean seven-day return of 1.81%, compared with 0.84% for same-date momentum-matched peers. Mean excess is positive at all seven tested z-score cutoffs, but greater extremity does not reliably strengthen the advantage. Median excess is negative at every cutoff, reflecting a distribution shaped by occasional large winners. The findings support a positive historical association between social heating and average forward returns relative to the specified peers. Historical data revisions, incomplete coverage and unmodeled trading costs limit their use as evidence of real-time profitability.

1 Research Summary

Social heating is associated with positive average seven-day forward returns across all seven tested z-score thresholds. From $z \geq 2$ through $z \geq 10$, mean returns range from 1.81% to 3.90%. Heating assets also outperform same-date, momentum-matched non-heating peers on average at every threshold, with excess returns ranging from 0.42 to 1.31 percentage points.

Several moderate thresholds illustrate the result. At $z \geq 3$, mean seven-day return is 2.41% and matched excess is 0.97 points. At $z \geq 4$, 758 events average 2.95%, with 1.31 points of matched excess. Closer peer matching still yields 1.18 points of excess at $z \geq 4$; its original matched excess also stays positive when any single year or asset is removed. The finding extends beyond a single threshold choice.

The evidence of a relative advantage is clearest at moderate heating levels. Individual outcomes remain uneven, and occasional large winners lift the averages. The finding concerns historical average returns: more extreme heating does not automatically mean better performance, and net trading profitability still needs to be tested.